Stepped rates across a franchise network

Prepared for Citrin Cooperman. All example data below is fictional.

The problem

A franchisor client bills royalties and marketing fund contributions across its network. Established units pay 6 percent. A first year unit is on a stepped rate of 5 percent for its first year.

In this fictional month, the stepped unit was billed at the standard rate.

Item	Rule	Amount
Network gross sales	12 units, one month	$1,940,000.00
Royalty billed	6% across all units	$116,400.00
First year unit gross	Stepped rate applies	$86,000.00
Correct royalty, that unit	5% of gross	$4,300.00
Billed royalty, that unit	6% of gross	$5,160.00
Overbilled	One unit, one month	$860.00

Caught a year later, that single rate error becomes a trust problem with the franchisee and a restatement across every report that used the billed figure.

> In franchise reporting, a small rate error repeated monthly becomes a relationship problem, not a rounding problem.

The same example in RevRule

RevRule stores each unit's rate schedule as rules, including stepped rates and the dates they change. Inputs: gross sales by unit, the royalty rate in force for that unit, and the marketing fund rate.

The stepped unit calculates at 5 percent automatically, and the network totals rest on per unit records the franchisor can show.

Item	Rule applied	Amount
Royalty pool	6% standard units, 5% stepped unit	$115,540.00
Marketing fund	2% of network gross	$38,800.00
Correction avoided	Stepped unit billed correctly	$860.00
Total network gross	Basis for both pools	$1,940,000.00

The same record keeping covers entertainment participations: rates, fee bases, and effective dates stored per title or per unit, calculated the same way every period.

RevRule gives advisory teams in entertainment and franchising a calculation record their clients' participants and franchisees can be shown.

Full product details: https://payloadhq.github.io/revrule.html